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Report Name: Oilseeds and Products Update

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Post: Kuala Lumpur

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Report Highlights:

Post revised the forecasted palm oil production in marketing year MY2023/24 to 19.0 million metric tons (MT) and exports to 16.6 million MT. Contrary to expectation, the El Niño weather pattern in Malaysia has so far been weak to medium intensity. In addition, less replanting than expected and a marginal increase in labor availability have played a role in this revised outlook. India and China remain Malaysia's top importers of palm oil.

Palm Oil Production

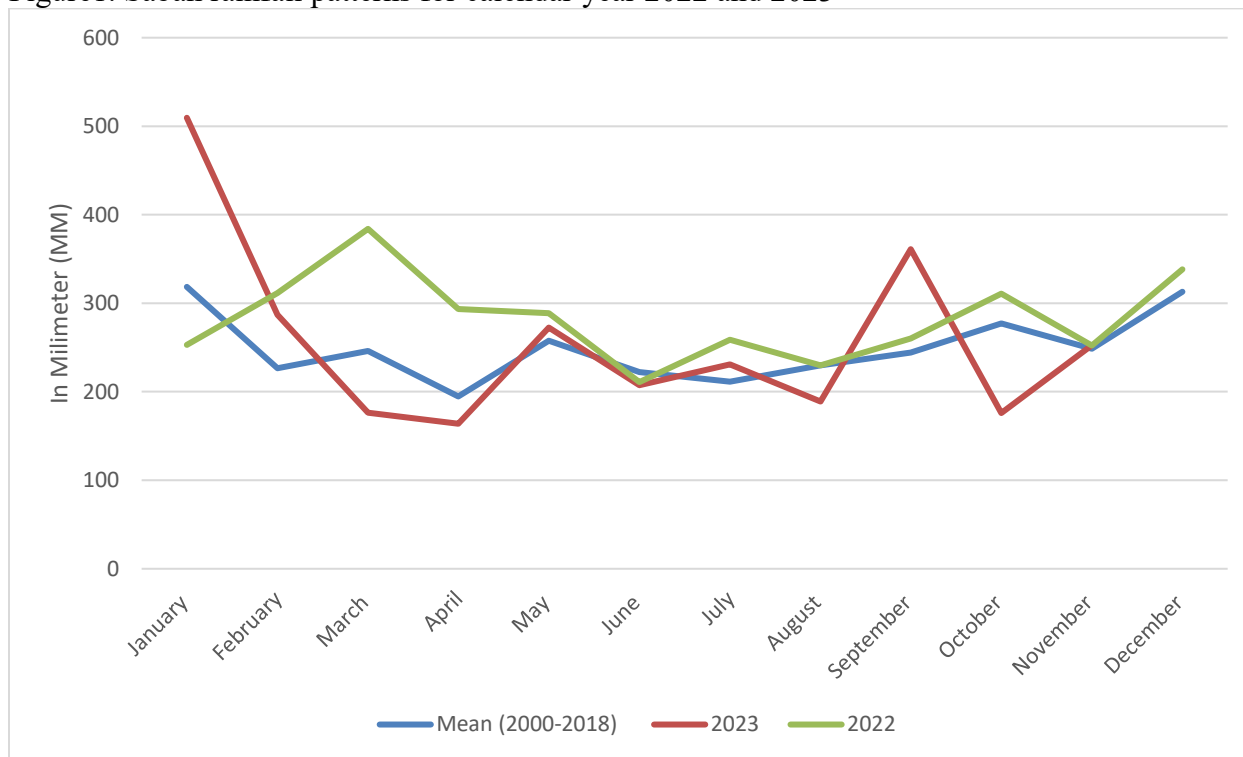
Post revised the MY2023/24 palm oil production to 19.0 million metric tons (MT). Factors supporting the MY2023/24 production estimate include weather conditions, less than expected replanting, and slight improvements in labor challenges.

The Malaysian Meteorological Department reports show that weather from July 2023 through [April 2024](#), will effect an El Niño weather pattern that is weak to medium intensity.

Due to the anticipated weak to medium El Niño, from July 2023 until April 2024, rainfall is forecast to be normal for Peninsular Malaysia and the state of Sarawak. For the state of Sabah (contributing around 20 percent of palm oil production), rainfall has also been normal to date. However, rainfall is forecast to be slightly below normal precipitation levels from January through April 2024, where there is an expected reduction between 20 percent to 40 percent from the average long-term recorded rainfall.

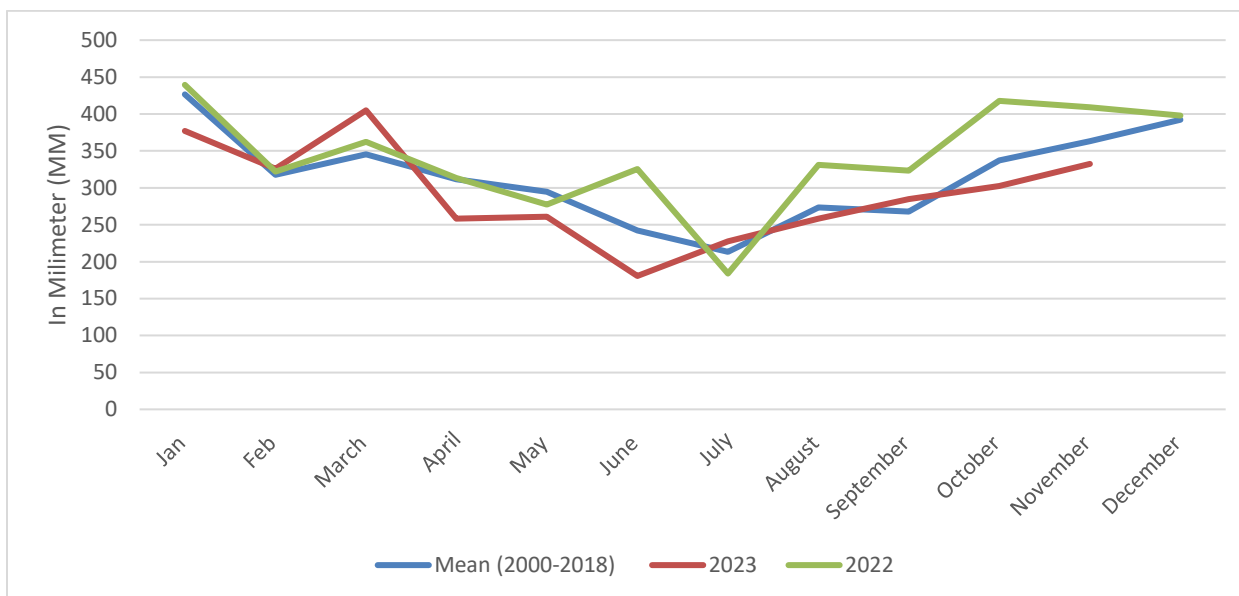
Figure 1, 2, and 3 display rainfall patterns in Sabah, Sarawak, and Peninsular Malaysia for the calendar year 2022 and 2023. From the charts, the rainfall recorded falls within the average range, with variations of up to 20 percent for the long-term average.

Figure1. Sabah rainfall patterns for calendar year 2022 and 2023



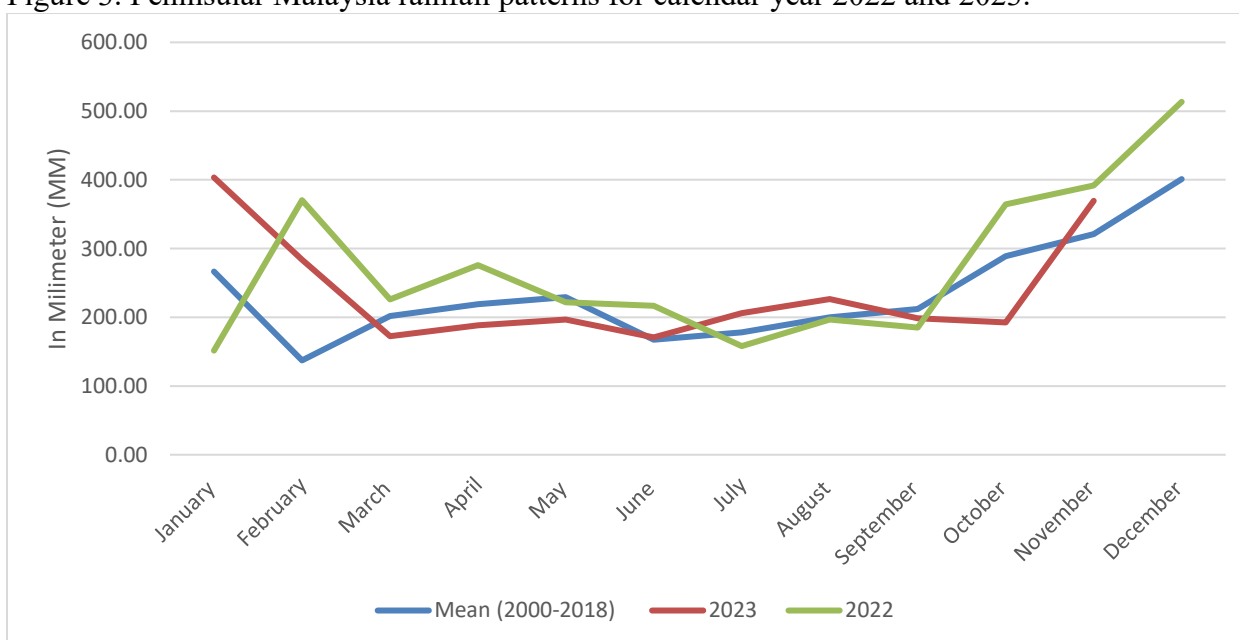
Source: Famine Early Warning Systems Network- FEWS Net

Figure 2. Sarawak rainfall patterns for calendar year 2022 and 2023



Source: Famine Early Warning Systems Network- FEWS Net

Figure 3. Peninsular Malaysia rainfall patterns for calendar year 2022 and 2023.



Source: Famine Early Warning Systems Network- FEWS Net

In addition, based on data published by the Malaysian Palm Oil Board (MPOB), on “Sales, own use and closing stock of oil palm seedlings,” total collective sales and own use of palm oil seedlings in MY2022/23 rose from 34,062,118 to 37,449,544 number of seedlings, an increase of 9.94 percent, mostly in Peninsular Malaysia of the states of Johore and Pahang, the two largest palm oil producers in Peninsular Malaysia.

Major palm oil plantation companies like Sime Darby, Kuala Lumpur Kepong (KLK), FELDA, Genting Plantation, TH Plantation, and Boustead Plantation followed the MPOB directive to re-plant at least one to two percent of their planted areas annually.

A consistent and systematic replanting program helps maintain a balanced age profile for their palm trees, ensuring future profitability. However, the specific percentage for replanting is determined by each company based on their resources and projected future profits.

In contrast, for medium sized plantation companies and smallholders, a replanting program is voluntary. Despite many palm trees in Malaysia being over 25 years old (estimated around 25 percent of total planted areas) and in need of replanting, the high price of palm oil, expected to be above USD\$800 per tons in calendar year (CY)2024, discouraged medium sized plantation companies and smallholders from the replanting program.

According to industry experts, the average cost of production of one ton of palm oil in Malaysia is estimated around \$485 for big plantation companies and \$530 for medium sized plantation companies and smallholders. These costs are lower than the forecasted average selling price of CPO at \$800 for CY2024. Anticipating substantial profits to be made in CY2024, many medium sized and smallholders are choosing to forego the replanting program, despite its potential future benefits in the long term.

This decision has limited the impact of replanting on production as more than 60 percent of palm oil planted areas are owned by smallholders. In addition, replanting demands more resources as young seedlings require more fertilizer applications, careful attention to agronomic practices compared to matured trees and loss of income as young trees take three to four years to produce fresh fruit bunches (FFB).

During the labor shortage period in MY2020/21 and MY 2021/22, due to the COVID-19 border restrictions, some palm trees were not harvested. According to reports from the Malaysian Palm Oil Association (MPOA) and MPOB, the improved labor availability is expected to improve FFB collection in MY2023/24, compared to in MY2022/23, as the Government of Malaysia (GOM) allowed the industry to source manual foreign labor from multiple source countries such as Indonesia, Philippines, India, Nepal, Thailand, Vietnam, Myanmar, Pakistan, Laos and Cambodia.

Consumption

Post revised upwards total domestic consumption for MY2023/24 to 3.98 million MT. Food use domestic consumption increased marginally by 1.17 percent to 860,000 MT. The estimate for MY2023/24 is in line with a modest rise in population growth and anticipated recovery in the tourism sector.

For industrial domestic consumption, post revised the figures slightly to 3.02 million MT, reflecting a 0.66 percent increase from MY2022/23 figures. This growth is attributed to the recovery in the domestic oleo-chemical sector production, particularly in the pharmaceuticals sector and improved biodiesel production.

According to the Malaysian Biodiesel Association, domestic consumption of biodiesel is driven by an increase in diesel vehicle ownership, both in the commercial and private sectors, and industrial usages.

Industrial usage of palm biodiesel at a seven percent blending rate were introduced in July 2019 and have slightly increased.

Trade

Post maintained Malaysia’s export for MY2023/24, at 16.6 million MT. This is in line with steadily growing market opportunities.

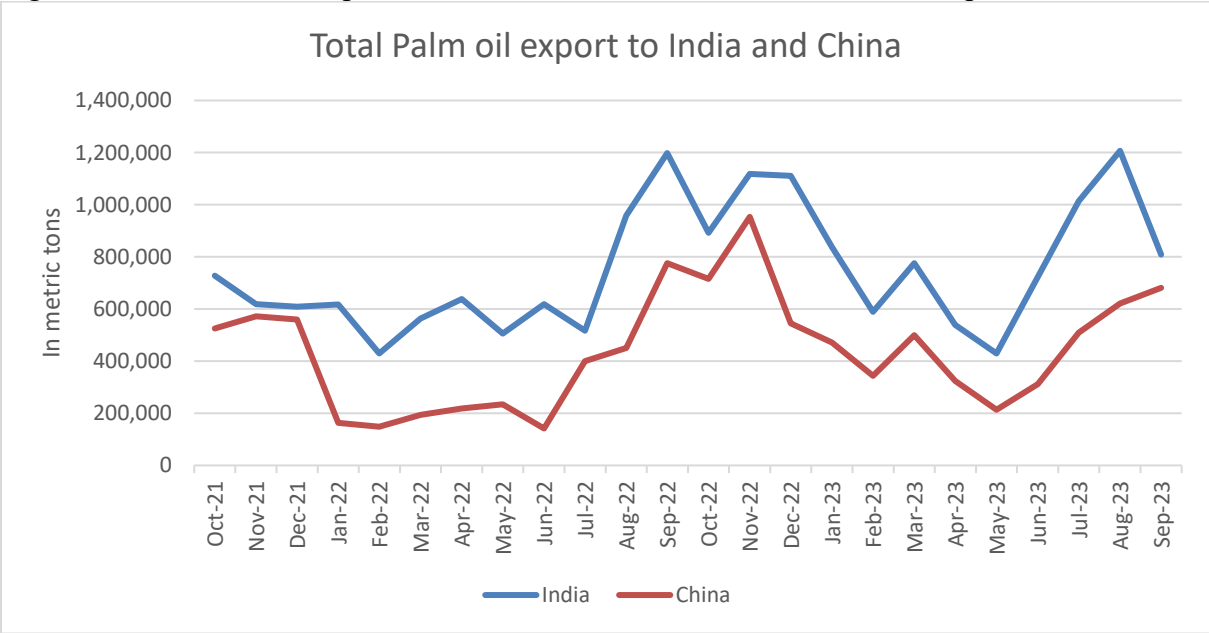
Anticipated increases in palm oil imports by India and China during the third and fourth quarters of MY2023/24 are driven by the peak production cycle of palm oil during this period.

Figure 4 illustrates the decline in palm oil export to India and China from December 2022 to June 2023, reflecting low production cycle period and the increase buying activities of these countries from July to November 2022 in line with high production period when palm oil production was high. This trend is expected to persist in MY2023/24 as during low production period price of palm oil is anticipated to be high compared to during high production cycle period.

Moreover, other emerging markets such as Djibouti, Kenya, Nigeria, Senegal, Tanzania, Philippines, and Vietnam offer new growth opportunities for the Malaysian palm oil exports. These markets offer additional avenues for expansion, contributing to the overall strength of Malaysia’s palm oil export in MY2023/24.

In other developments, the Government of Indonesia’s (GOI) recent implementation of B35 biodiesel mandate in August 2023 could mean less palm oil available from Indonesia for export and provide opportunities for Malaysia palm oil to fill the gap.

Figure 4. Total Palm oil export to India and China from October 2021 to September 2023



Source: Trade Data Monitor (TDM)

Stocks

While stock level may vary throughout the year, the ending stock level is forecast to drop in the third and the last quarter of MY2023/24, as exports to key markets, India and China replenish their palm oil stock. Post forecasts that MY2023/24 ending stocks will drop slightly to 1.64 million MT.

Palm Oil, Production, Supply and Distribution

Oil, Palm	2021/22		2022/23		2023/24	
Market Begin year	Oct 21		Oct 22		Oct 23	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	5,450	5,450	5,500	5,500	5,550	5,380
Beginning Stocks	1,756	1,756	2,318	2,318	2,314	2,327
Production	18,152	18,152	18,387	18,400	19,000	19,000
MY imports	1,237	1,237	935	935	1,400	900
Total Supply	21,145	21,145	21,640	21,653	22,714	22,227
MY Exports	15,527	15,527	15,355	15,355	16,400	16,600
Industrial Dom. Cons.	2,423	2,423	3,000	3,000	3,000	3,020
Food Use Dom. Cons.	810	810	855	850	870	860
Feed Waste Dom. Cons.	67	67	116	121	100	100
Total Dom. Cons.	3,300	3,300	3,971	3,971	3,970	3,980
Ending Stocks	2,318	2,318	2,314	2,327	2,344	1,647
Total Distribution	21,145	21,145	21,640	21,653	22,714	22,227
Yield	3.3306	3.3306	3.3431	3.3455	3.4234	3.5316
(1000 HA) , (1000 Trees), (1000 MT)						

Palm Kernel

Production

In MY 2023/24, in line with improved collection of FFB, post forecasts palm kernel production to grow to 4.70 million MT. This growth is in line with the improved labor availability, which has led to an increase in the collection of FFB. Additionally, favorable weather conditions over the last twelve months have played a significant role in contributing to this positive outlook.

Consumption

Post maintained estimates for MY 2023/24 palm kernel crush at 4.77 million MT.

Trade

Post maintained MY2023/24 imports at 30,000 MT and revised downward export to 5,000 MT as domestic demand is expected to remain strong and robust.

Palm Kernel, Production, Supply and Distribution

Oilseed, Palm Kernel	2021/2022	2022/2023	2023/2024
Market Begin Year	Oct 2021	Oct 2022	Oct 2023

Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	0	0	0	0	0	0
Area Harvested	5,450	5,450	5,500	5,500	5,550	5,380
Trees	0	0	0	0	0	0
Beginning Stocks	83	83	199	199	154	151
Production	4,448	4,448	4,488	4,500	4,700	4,707
MY Imports	30	30	43	42	30	30
Total Supply	4,561	4,561	4,730	4,741	4,884	4,888
MY Exports	83	83	1	3	3	5
Crush	4,279	4,279	4,575	4,587	4,725	4,776
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	0	0	0	0	0	0
Total Dom. Cons.	4,279	4,279	4,575	4,587	4,725	4,776
Ending Stocks	199	199	154	151	156	107
Total Distribution	4,561	4,561	4,730	4,741	4,884	4,888
(1000 HA), (1000 TREES), (1000 MT)						

Palm Kernel Meal

Production

As palm kernel crushing activities increase in MY2023/24, palm kernel meal (PKM) production is forecast to increase in tandem. Post forecasts palm kernel meal production to reach 2.42 million MT in MY2023/24.

Consumption

For MY 2023/24 PKM consumption is expected at 270,000 MT from 310,000 MT in MY2022/23. The decline is expected as chicken farmers are expected to reduce the proportion of PKM in their feed's formulation. The decision to lower PKM content is influenced by expectation of lower feed price and an abundant supply of soybean meal and corn in MY2023/24.

Trade

Because PKM commands a higher price in export markets, a substantial amount is exported. Post forecasts MY 2023/24 exports to increase to 2.18 million MT, as increased crush contributes to the higher availability of PKM for export markets.

Palm Kernel Meal, Production, Supply, and Distribution

Meal, Palm Kernel	2020/2021		2021/2022		2022/2023	
Market Begin Year	Oct 2020		Oct 2021		Oct 2022	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post

Crush	4,279	4,279	4,575	4,587	4,725	4,776
Extr. Rate, 999.9999	0.5111	0.5111	0.506	0.5053	0.5111	0.5067
Beginning Stocks	239	239	225	222	224	220
Production	2,187	2,187	2,315	2,318	2,415	2,420
MY Imports	0	0	0	0	0	0
Total Supply	2,426	2,426	2,540	2,540	2,639	2,640
MY Exports	2,076	2,079	1,998	2,010	2,150	2,185
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	125	125	318	310	250	270
Total Dom. Cons.	125	125	318	310	250	270
Ending Stocks	225	222	224	220	239	185
Total Distribution	2,426	2,426	2,540	2,540	2,639	2,640
(1000 MT), (PERCENT)						

Palm Kernel Oil

Production

Due to industry recovery from pandemic shutdowns and an increase in production of palm oil, there is a rise in palm kernel crushing activities. This aligns with more palm kernel oil (PKO) production forecast at 2.18 million MT for MY2023/24, compared to the previous marketing year, MY2022/23 at 2.09 million MT.

Consumption

Post forecasts MY 2023/24 total domestic consumption, to increase slightly at 1.36 million MT.

Trade

The global demand for palm kernel oil is expected to increase imports to 290,000 MT and exports to 1.12 million MT in MY2023/24.

Palm Kernel Oil, Production, Supply and Distribution.

Oil, Palm Kernel	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct 2021		Oct 2022		Oct 2023	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	4,279	4,279	4,575	4,587	4,725	4,776
Extr. Rate, 999.9999	0.4562	0.4562	0.4579	0.4565	0.455	0.4579
Beginning Stocks	310	310	363	363	368	378
Production	1,952	1,952	2,095	2,094	2,150	2,187
MY Imports	323	323	280	281	280	290

Total Supply	2,585	2,585	2,738	2,738	2,798	2,855
MY Exports	1,040	1,040	1,008	1,010	1,175	1,120
Industrial Dom. Cons.	1,057	1,057	1,237	1,227	1,148	1,240
Food Use Dom. Cons.	125	125	125	123	110	125
Feed Waste Dom. Cons.	0	0	0	0	0	0
Total Dom. Cons.	1,182	1,182	1,362	1,350	1,258	1,365
Ending Stocks	363	363	368	378	365	370
Total Distribution	2,585	2,585	2,738	2,738	2,798	2,855
1000 HA), (1000 TREES), (1000 MT)						

Soybeans

Production

There is no commercial cultivation of soybeans in Malaysia.

Consumption

Given the steady population growth in MY2023/24, post anticipates domestic demand for poultry is expected to increase in tandem.

In addition, the anticipated availability of soybeans from source countries is also contributed to increase in consumption. In the past, there was a tendency to substitute soybeans with corn as it is abundant and competitively priced.

Before July 1, 2023, the price of dressed chicken in Malaysia was controlled by GOM, placing financial pressure on chicken farmers when feed price roses. However, after July 1, 2023, the liberalization of price control mechanisms allowed chicken farmers to set the price of dressed chicken based on market demand and supply. This shift in pricing control allowed farmers more flexibility and encouraged them to expand their operation.

As a result, post estimates total domestic consumption in MY 2023/24 at 770,000 MT, with crushing activities forecasted to increase to 555,000 MT.

Trade

Post maintained forecasts of MY 2023/24 soybean imports at 775,000 MT. Compared to the previous year, the larger imports are driven by improved in domestic demand for poultry products, and the liberalization of price control on poultry.

In addition, expected favorable exchange rate of Malaysian currency in 2024 and a higher availability of soybeans for export, as indicated in the World Agricultural Supply and Demand Estimates (WASDE) report on December 8, 2023. (see [WASDE -643 report](#))

Soybeans, Production, Supply and Distribution

Oilseed, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct 2021		Oct 2022		Oct 2023	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	0	0	0	0	0	0
Area Harvested	0	0	0	0	0	0
Beginning Stocks	84	84	79	79	74	70
Production	0	0	0	0	0	0
MY Imports	694	694	684	684	800	775
Total Supply	778	778	763	763	874	845
MY Exports	9	9	9	10	15	10
Crush	500	500	465	468	560	555
Food Use Dom. Cons.	150	150	175	175	180	175
Feed Waste Dom. Cons.	40	40	40	40	40	40
Total Dom. Cons.	690	690	680	683	780	770
Ending Stocks	79	79	74	70	79	65
Total Distribution	778	778	763	763	874	845
(1000 HA), (1000 MT), (MT/HA)						

Soybean Meal

Production

With soybean crushing activities projected at 555,000 MT in MY2023/24, soybean meal production is estimated to reach 440,000 MT. This is in line with projected increase in demand for soybean meals from the poultry industry. The Malaysian government decision to liberalize price controls for poultry sector on July 1, 2023, has played a role in stimulating this increased demand. The liberalization of price controls has likely encouraged greater utilization of soybean meals in poultry feed formulations at the expense of palm kernel meals, thus driving the corresponding increase in soybean meal production.

Consumption

In MY 2023/24, Post forecasts total domestic consumption of soybean meal at 1.74 million MT, this is in anticipation of increase in poultry production from the liberalization of price control by the government of Malaysia (GOM).

Trade

Post forecasts that soybean meal imports in MY2023/24 will reach 1.45 million MT. Notably, U.S soy meal exports have seen increased interest in October and November 2023. The active promotion and outreach programs by the U.S. Soybean Export Council (USSEC) in Malaysia, saw a shift in sourcing by Malaysian feed importers. According to USDA FAS data on [U.S. Export sales -December 14,2023](#) (data for week ending December 7, 2023) accumulated U.S. soybean meal exports from October 1, 2023 to December 7, 2023 reached 45,300 MT. This figure is significantly higher than the [MY2022/23 total sales](#) which stood at 19,300 MT. Several factors contribute to this shift in buying patterns including

competitive pricing of U.S. meals and high quality and high protein contents of U.S. meals compared to competitors.

Despite the promising market for U.S soybean meals in Malaysia, it is noteworthy that Argentina remains the primary supplier, accounting for 95 percent of all soybean meal imports.

Soybean Meal, Production, Supply, and Distribution

Meal, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct 2021		Oct 2022		Oct 2023	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	500	500	465	468	560	555
Extr. Rate, 999.9999	0.788	0.788	0.7871	0.7906	0.7875	0.7928
Beginning Stocks	128	128	92	92	70	64
Production	394	394	366	370	441	440
MY Imports	1,292	1,292	1,346	1,346	1,400	1,450
Total Supply	1,814	1,814	1,804	1,808	1,911	1,954
MY Exports	82	82	59	59	85	85
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1,640	1,640	1,675	1,685	1,725	1,740
Total Dom. Cons.	1,640	1,640	1,675	1,685	1,725	1,740
Ending Stocks	92	92	70	64	101	129
Total Distribution	1,814	1,814	1,804	1,808	1,911	1,954
(1000 MT), (PERCENT)						

Soybean Oil

Production

As crushing activities forecasted at 555,000 MT, soybean oil production is forecasted at 100,000 MT for MY2023/24.

Consumption

For MY2023/24, post maintained consumption of soybean oil at 82,000 MT. The consumption is for domestic food use. The marginal increase aligns with overall increase in the consumption of other oilseeds oil in Malaysia such as palm oil.

Trade

Post forecasts a slight increase in soybean oil imports in MY 2023/24, to 100,000 MT in line with the general increase in oil consumption in Malaysia and gradual increase in population growth.

For exports, post forecasts a slight increase of exports to 117,000 MT in tandem with increase in crushing activities where most of the soybean oil is exported regionally to Philippines, Australia, Indonesia, and Singapore.

Soybean Oil, Production, Supply, and Distribution

Oil, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct 2021		Oct 2022		Oct 2023	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	500	500	465	468	560	555
Extr. Rate, 999.9999	0.18	0.18	0.1785	0.1795	0.1786	0.1802
Beginning Stocks	14	14	2	2	7	3
Production	90	90	83	84	100	100
MY Imports	65	65	88	88	100	100
Total Supply	169	169	173	174	207	203
MY Exports	120	120	106	108	115	117
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	47	47	60	63	80	82
Feed Waste Dom. Cons.	0	0	0	0	0	0
Total Dom. Cons.	47	47	60	63	80	82
Ending Stocks	2	2	7	3	12	4
Total Distribution	169	169	173	174	207	203
(1000 MT), (PERCENT)						

Attachments:

No Attachments